

lululemon athletica inc. (LULU)

Share price: \$117.32 USD

Date: 2026-07-20

Financials Table

Metric (USD '000s)	Q1 FY2026 (13wk, ended 5/3/26)	Q1 FY2025 (13wk, ended 5/4/25)	FY2025 (52wk, ended 2/1/26)	FY2024 (53wk, ended 2/2/25)	FY2023 (52wk, ended 1/28/24)
Revenue	2,471,603	2,370,660	11,102,600	10,588,126	9,619,278
Gross Profit	1,338,818	1,383,126	6,284,132	6,270,811	5,609,405
Operating Income (EBIT)	276,946	438,625	2,210,615	2,505,697	2,132,676
D&A (from cash flow stmt)	135,335	114,529	496,228	446,524	379,384
EBITDA	412,281	553,154	2,706,843	2,952,221	2,512,060
Finance costs / interest expense	~0	~0	~0	~0	~0
Other income (expense), net	9,131	11,786	28,352	70,380	43,059
Net Income	195,048	314,572	1,579,183	1,814,616	1,550,190
Cash from Operating Activities	214,440	(118,954)	1,602,477	2,272,713	2,296,164
Capital Expenditures	127,380	152,263	680,802	689,232	651,865
Free Cash Flow (CFO — Capex)	87,060	(271,217)	921,675	1,583,481	1,644,299
Stock-Based Compensation (GAAP)	29,186	23,091	62,203	90,011	93,560
Cash used for share repurchases	361,756	434,439	1,178,349	1,636,879	558,652
True SBC cost	28,515	59,206	61,248	81,428	134,519

Metric (USD '000s)	Q1 FY2026	Q1 FY2025	FY2025	FY2024	FY2023
	(13wk, ended 5/3/26)	(13wk, ended 5/4/25)	(52wk, ended 2/1/26)	(53wk, ended 2/2/25)	(52wk, ended 1/28/24)
Owners' Earnings (FCF — True SBC cost)	58,545	(330,423)	860,427	1,502,053	1,509,780
ROIC	1.28% (5.11% annualized)	n/a — insufficient BS data	18.97%	n/a — insufficient BS data	n/a — insufficient BS data
Comparable sales growth	+1% (–2% constant \$)	n/a — not disclosed	+2%	n/a — not disclosed	n/a — not disclosed

Notes:

- All figures from `primary_sources/FY2025/financial_statements.md` (10-K for FY ended Feb 1, 2026, with FY2024 and FY2023 comparatives) and `primary_sources/1Q2026/financial_statements.md` (10-Q for quarter ended May 3, 2026, with Q1 FY2025 comparative).
- **Operating Income (EBIT)** = Gross Profit – SG&A – Amortization of intangible assets (– Impairment/restructuring costs in FY2023, which was \$74,501k). This matches the company's reported "Income from operations" line item exactly.
- **Finance costs/interest expense**: lululemon carries no long-term debt or borrowings outstanding on its revolving credit facilities (confirmed in `primary_sources/1Q2026/financial_statements.md` Note 4 and `primary_sources/FY2025/financial_statements.md` Note 13). The "Other income (expense), net" line is, per MD&A, "primarily due to a decrease in interest income" (`primary_sources/FY2025/md_and_a.md`, `primary_sources/1Q2026/md_and_a.md`) — i.e., it is interest **income**, not expense. Finance costs are therefore treated as ~\$0 for unlevering purposes.
- **Adjusted EBITDA**: lululemon does not disclose an adjusted EBITDA or similar non-GAAP earnings metric in its 10-K/10-Q MD&A (confirmed via search of `primary_sources` — no "EBITDA"/"Adjusted" earnings metric found in MD&A sections). GAAP-derived EBITDA (EBIT + D&A) is used instead throughout this analysis.
- **True SBC cost methodology** (per instructions): $\text{True SBC} = I \times P + C$, where I = net shares issued due to SBC ($S1 - S0 + W$), P = average price paid per repurchased share (total repurchase cash incl. excise tax $\div$ shares repurchased W), and C = net SBC-related tax cash cost (RSU tax withholding paid – proceeds from option exercise/ESPP settlement). Calculated in `work_products/lulu_financials_valuation_calc.py`:

Period	I (shares, '000s)	P (\$/sh, avg repurchase price)	C (\$'000s, net SBC tax cost)	True SBC (\$'000s)	Reported GAAP SBC (\$'000s)
FY2023	383	376.96	(9,856)	134,519	93,560
FY2024	207	318.03	15,597	81,428	90,011

Period	I (shares, '000s)	P (\$/sh, avg repurchase price)	C (\$'000s, net SBC tax cost)	True SBC (\$'000s)	Reported GAAP SBC (\$'000s)
FY2025	178	237.38	18,995	61,248	62,203
Q1	106	318.74	25,420	59,206	23,091
FY2025					
Q1	99	166.63	12,019	28,515	29,186
FY2026					

True SBC cost tracks below reported GAAP SBC expense in FY2025 (because repurchase prices used to calculate $I \times P$ have fallen well below the grant-date fair values embedded in GAAP SBC expense, as LULU's stock price has declined substantially over the period), but well above GAAP SBC in FY2023–FY2024 and Q1 FY2025 when the stock traded at much higher prices. This confirms the economic dilution cost of SBC is highly sensitive to the price at which the company repurchases shares to offset dilution — a rough estimate, not a precise figure, per the “approximately right” principle.

- Q1 FY2025 (13 weeks ended May 4, 2025) shows negative CFO (−\$118,954k) and negative FCF, mainly reflecting a large working-capital build (inventory +\$174,319k use of cash) and a \$160,295k reduction in income taxes payable — a seasonally low quarter, not indicative of run-rate FCF generation.
- **ROIC methodology:** $\text{ROIC} = \text{Owners' Earnings} \div \text{Average Invested Capital}$, where $\text{Invested Capital} = \text{Operating Assets} - \text{Operating Liabilities}$. Calculated in `work_products/lulu_financials_valuation_calc.py`:
 - Operating Assets = Cash + Accounts receivable + Inventories + Prepaid expenses and other current assets + Property and equipment, net + Intangible assets, net + Other non-current assets.
 - Operating Liabilities = Accounts payable + Accrued liabilities and other + Accrued compensation and related expenses + Unredeemed gift card liability + Other current liabilities + Other non-current liabilities.
 - Excluded from both sides (as a disclosed simplifying choice, kept internally consistent with this document treating lease liabilities as debt in the EV calc): right-of-use lease assets and lease liabilities (current & non-current), Goodwill, and tax-timing items (pre-paid/receivable income taxes, deferred income tax assets/liabilities).

Balance sheet date	Invested Capital (\$'000s)	Source
Feb 2, 2025 (FY2024-end)	4,406,040	<code>primary_sources/FY2025/financial_statements.md</code>
Feb 1, 2026 (FY2025-end)	4,664,909	<code>primary_sources/FY2025/financial_statements.md</code>
May 3, 2026 (Q1 FY2026-end)	4,506,383	<code>primary_sources/1Q2026/cover_page.md</code> (full balance sheet)

FY2025 ROIC = \$860,427k Owners' Earnings $\div$ average of the Feb 2, 2025 and Feb 1, 2026

Invested Capital (\$4,535,475k) = **18.97%**. Q1 FY2026 ROIC = \$58,545k ÷ average of the Feb 1, 2026 and May 3, 2026 Invested Capital (\$4,585,646k) = 1.28% for the quarter, or **5.11%** on a simple ×4 annualized basis (not seasonally adjusted — flagged as a rough approximation, per the “approximately right” principle).

ROIC for Q1 FY2025, FY2024, and FY2023 is **n/a**: the primary sources on hand do not include the full balance sheet detail needed to compute Invested Capital at those period-end dates — specifically, the May 4, 2025 (Q1 FY2025) balance sheet is not disclosed in the 1Q2026 10-Q’s comparatives, and the FY2025 10-K’s comparative balance sheet only goes back to Feb 2, 2025 (no Jan 28, 2024 or earlier balance sheet is included in the primary sources available).

- Comparable sales, store counts, and other operating metrics are disclosed in **primary_sources/FY2025/md_and_a.md** and **primary_sources/1Q2026/md_and_a.md**: FY2025 net revenue grew 5% to \$11.1B with comparable sales +2% (Americas −3%, China Mainland +20%, Rest of World +9%, all on a reported/as-disclosed basis, **primary_sources/FY2025/md_and_a.md**); Q1 FY2026 total comparable sales increased 1% as reported, or decreased 2% on a constant-dollar basis (Americas −5% reported/−6% constant \$, China Mainland +20% reported/+13% constant \$, Rest of World +5% reported/+1% constant \$, **primary_sources/1Q2026/md_and_a.md**). The company added 44 net new company-operated stores in FY2025 (811 total stores as of 2/1/26, up from 767 a year earlier), and had 816 stores as of 5/3/26 (**primary_sources/1Q2026/financial_statements.md**, Note 1).

Comparable sales for Q1 FY2025 and FY2024 are **not disclosed** in the primary sources on hand: no Q1 FY2025 10-Q or FY2024 10-K is present in **primary_sources**, and neither the FY2025 10-K nor the 1Q2026 10-Q discloses those periods’ own total comparable-sales figures as a standalone number (they only appear implicitly as the base for the FY2025-vs-FY2024 and Q1FY2026-vs-Q1FY2025 rate-of-change disclosures). FY2023 comparable sales are likewise not disclosed in the primary sources on hand (no FY2023 10-K present).

Capitalization, Cash, Debt, and Enterprise Value

Item	Value
Stock Price	\$117.32
Basic Shares	113,553,918
Fully Diluted Shares	113,620,822
Implied Market Cap (Basic)	\$13,322.1M
Implied Market Cap (Fully Diluted)	\$13,330.0M
Cash and Cash Equivalents	\$1,514.7M
Total Lease Liabilities (as debt)	\$2,136.0M
Long-term Debt / Borrowings	\$0 (none outstanding)
Pension Shortfall	\$0 (no defined-benefit plan disclosed)
EV (Basic)	\$13,943.4M
EV (Fully Diluted)	\$13,951.3M

Notes:

- **Basic shares (113,553,918)** = 108,437,957 common shares + 5,115,961 exchangeable shares of Lulu Canadian Holding, Inc. (economically equivalent to common shares), both

as of May 29, 2026 per the cover page of `primary_sources/1Q2026/cover_page.md`. This is the most recent share count disclosed (post-quarter-end, and it already reflects the 0.9 million shares repurchased between May 3–29, 2026 for \$111.0 million per Note 9 of `primary_sources/1Q2026/financial_statements.md` — no separate pro-forma adjustment is needed). Special voting stock (also 5,115,961 shares) carries voting rights only, tied 1:1 to the exchangeable shares, and is excluded to avoid double-counting economic interest.

- **Fully diluted shares (113,620,822)** = basic shares grossed up by the dilution ratio observed in Q1 FY2026 (68,000 dilutive shares from stock options/awards ÷ 115,414,000 basic weighted-average shares = 0.0589%), per Note 9 (Earnings Per Share) of `primary_sources/1Q2026/financial_statements.md`. Calculation in `work_products/lulu_financials_valuation_calc.py`.
- **Cash (\$1,514.7M)** = cash and cash equivalents as of May 3, 2026 (includes \$292.2M of money market funds per Note 7, `primary_sources/1Q2026/financial_statements.md`). No separately disclosed short- or long-term marketable securities/investments exist on the balance sheet.
- **Debt:** LULU has no long-term debt and no borrowings outstanding under either its \$600.0M Americas or ~\$43.9M China Mainland revolving credit facilities as of May 3, 2026 (Note 4, `primary_sources/1Q2026/financial_statements.md`). Per instructions, lease liabilities are included as a debt-like item: current lease liabilities of \$357.2M + non-current lease liabilities of \$1,778.8M = \$2,136.0M total (balance sheet, `primary_sources/1Q2026/financial_statements.md`). No pension shortfall exists — the company only offers defined-contribution plans (Note 6, `primary_sources/1Q2026/financial_statements.md`).

Valuation

Metric	Basic	Fully Diluted
EV/EBIT (LTM)	6.81x	6.81x
EV/EBITDA (LTM)	5.43x	5.44x
EV/Unlevered FCF (LTM)	10.89x	10.90x
EV/Unlevered Owners' Earnings (LTM)	11.16x	11.17x

Notes:

- LTM (twelve months ended May 3, 2026) figures are computed as FY2025 (ended 2/1/26) + Q1 FY2026 (ended 5/3/26) – Q1 FY2025 (ended 5/4/25), per `work_products/lulu_financials_valuation`

Metric	LTM value ('000s)
Revenue	11,203,543
EBIT	2,048,936
D&A	517,034
EBITDA	2,565,970
Net income	1,459,659
CFO	1,935,871
Capex	655,919

Metric	LTM value ('000s)
FCF	1,279,952
True SBC cost	30,558
Owners' Earnings	1,249,394

- Since finance costs/interest expense are ~\$0 (no debt outstanding; see Financials Table notes), Unlevered FCF = FCF and Unlevered Owners' Earnings = Owners' Earnings — no adjustment is required.
- The LTM True SBC cost figure (\$30.6M) is notably below the LTM GAAP SBC expense (\$68.3M, = FY2025 \$62.2M + Q1 FY2026 \$29.2M – Q1 FY2025 \$23.1M) because the rolling-LTM subtraction removes Q1 FY2025 (when LULU repurchased stock at a much higher average price of ~\$319/share) and adds Q1 FY2026 (repurchases at ~\$167/share). This makes the LTM Owners' Earnings figure somewhat sensitive to the specific quarter mix; investors should treat this as a rough estimate of the true economic dilution cost rather than a precise figure — consistent with the “approximately right” principle for uncertain estimates.
- No debt outstanding means EV is only modestly above market cap, driven entirely by capitalized lease liabilities (\$2,136.0M) net of cash (\$1,514.7M), a net addition of ~\$621M to market cap to arrive at EV.
- At \$117.32/share, LULU trades at a substantial discount to its 3-year-ago valuation levels — the stock price implied a market cap of ~\$17.6B as of August 1, 2025 (per the FY2025 10-K cover page, aggregate market value of voting stock held by non-affiliates), versus ~\$13.3B basic market cap today, despite revenue and EBITDA both being higher on an LTM basis than in FY2023. This reflects significant multiple compression, likely related to the securities class action and CEO transition disclosed in `primary_sources/1Q2026/financial_statements.md` Note 12, and the Americas segment's -3% comparable sales in FY2025 (`primary_sources/FY2025/md_and_a.md`) — flagged here as context, not as a causal claim (inference).
- EV/EBIT and EV/EBITDA multiples (~6.8x and ~5.4x) are low relative to LULU's historical multiples and to apparel/athletic peers, consistent with the market pricing in the risks noted above (leadership transition, litigation overhang, Americas segment deceleration). This is a market-observed fact (the multiple itself), with the interpretation flagged as inference.